SMART HOST

A Recommendation Engine for Real Estate

Forbes SKIFT VentureBeat

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VISION

Real estate data is a mess. The industry needs...

1. A central database of all transactions.

2. An algorithm that understands and compares properties like a human being does.

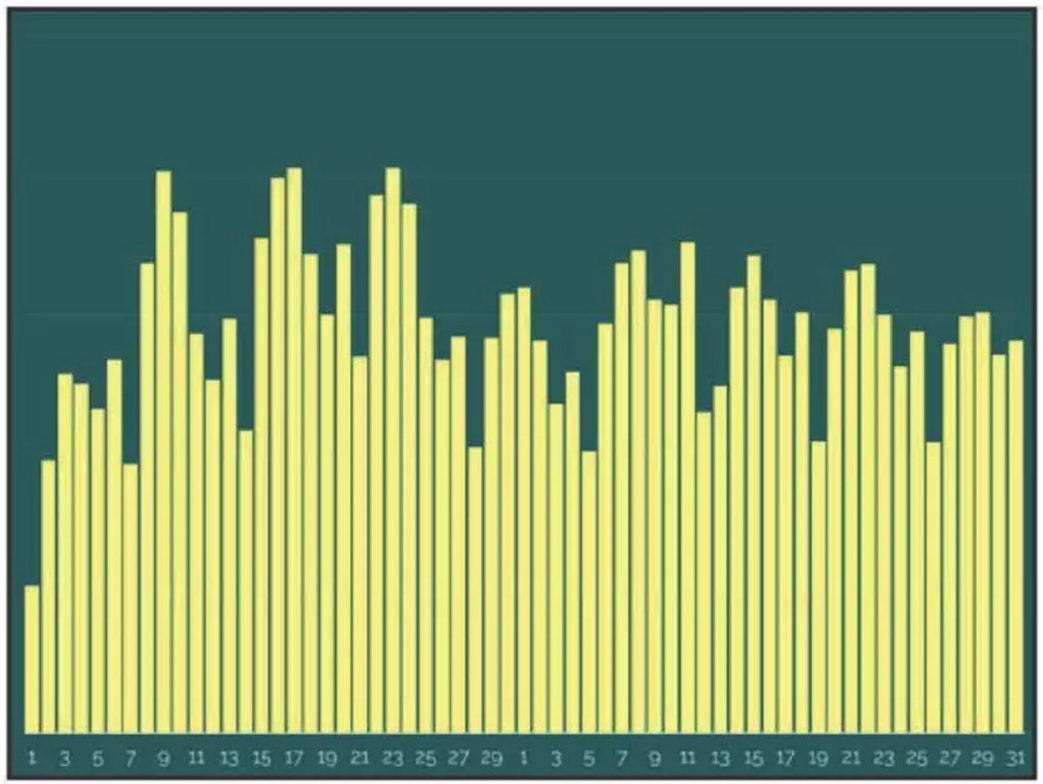
Our first vertical is vacation rentals.

70% of vacation rental bookings happen via phone call or email. The hosts are the only ones with this fragmented data.



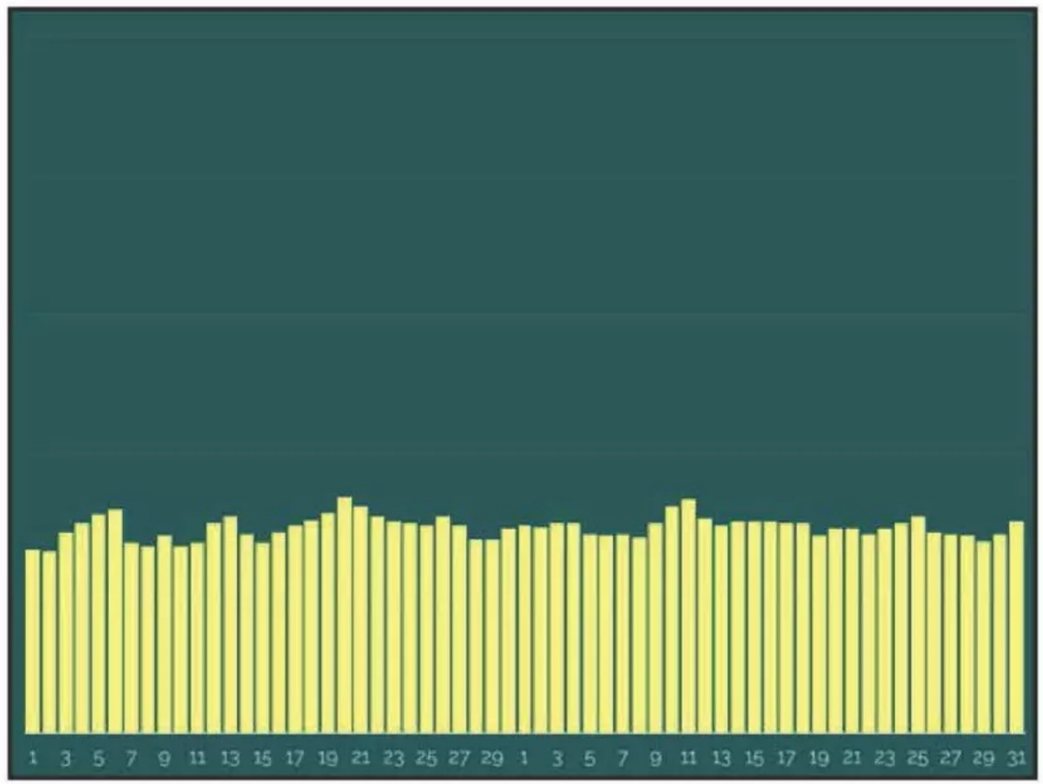
Our first application is pricing for hosts.

Hotels use data to set different prices for each night.
Vacation rental hosts don't.



Hotels: 124% Price Swing

NYC, Sept - Oct '14



Vacation Rentals: 18% Price Swing

NYC, Sept - Oct '14

PROBLEM

Hosts guess at pricing.

Because they don't know when competitors' properties get booked.



Can't price against competition.



Can't price specific nights.
While hotels set different prices for each night.



Can't react to supply and demand changes.
Even though hotels update prices in over time.

SOLUTION

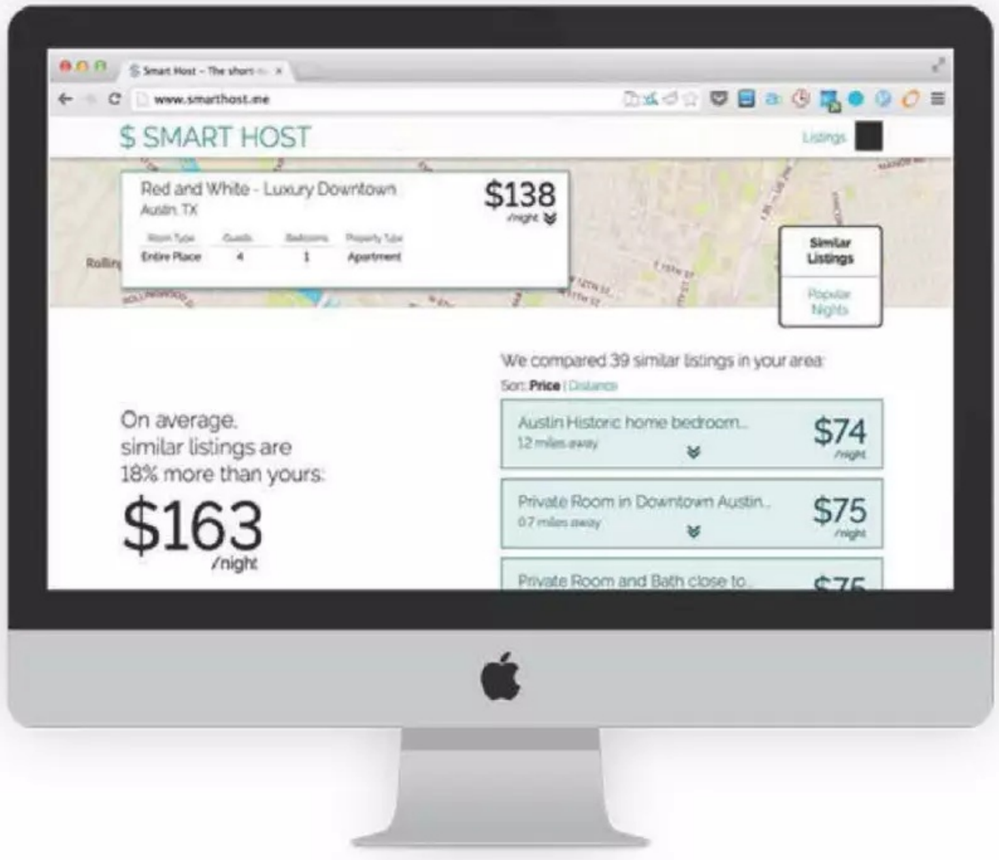
We help hosts make more money through dynamic pricing and market intelligence.

And they give us their booking data and local market expertise.

We build
a set of similar properties
to determine price intelligently.

We analyze
booking, event, demand, and hotel data
to forecast occupancy rates.

We provide
a market-informed pricing calendar
that updates in real-time.



We've sold subscriptions for 190 properties.

Our 19 vacation rental managers' average subscription is $109 per month.

"Smart Host solves an incredibly hard problem for vacation rental managers, whether they have 10 properties or 1000.



Ben Edwards, Investor in Smart Host
President, Vacation Rental Managers Assocation
HomeAway Advisory Board Member
FlipKey Advisory Board Member

It costs us $200 to acquire a $4500 customer.

We sell via phone to vacation rental managers that run 10 to 100 properties.
Leads are inexpensive and targetable by size and location.



Nick making calls from the Techstars Austin office.

Hosts are the best source of the booking data that drives our business because they are the sole owners of most of it.

Although bookings come from online marketplaces, company websites, and personal referrals, 70% of bookings happen via phone call and email.

We embed hosts' local expertise into our similar properties algorithm. Think Netflix's recommendation engine for real estate.

Techstars in Austin 2014.

Now based in Brooklyn.



Evan Hammer, CEO / Co-Founder
Evan spends each month in a different apartment, using Airbnb, HomeAway, and his social network to find housing. Before Smart Host, he was a sales engineer at Autonomy, where they used machine learning on big datasets to provide enterprise search. He's been a software engineer and product manager. Brown University, Computer Science.



Nick Persico, Sales / Co-Founder
Nick ran operations and sales at Krossover, expanding the team from 15 to 60 people in 9 months. Previously he worked as a sales consultant at Elastic. He has helped set up sales for 15 companies, including Eventbrite. Nick grew up renting out a vacation home.



Dave Redding, Engineering / Co-Founder
Dave has a love for mathematics and a masters in software engineering. As lead engineer at Touchlab, he built interfaces for Timehop, the US Postal Service, and 1 Second Everyday.
University of Scranton, Computer Science-Math.

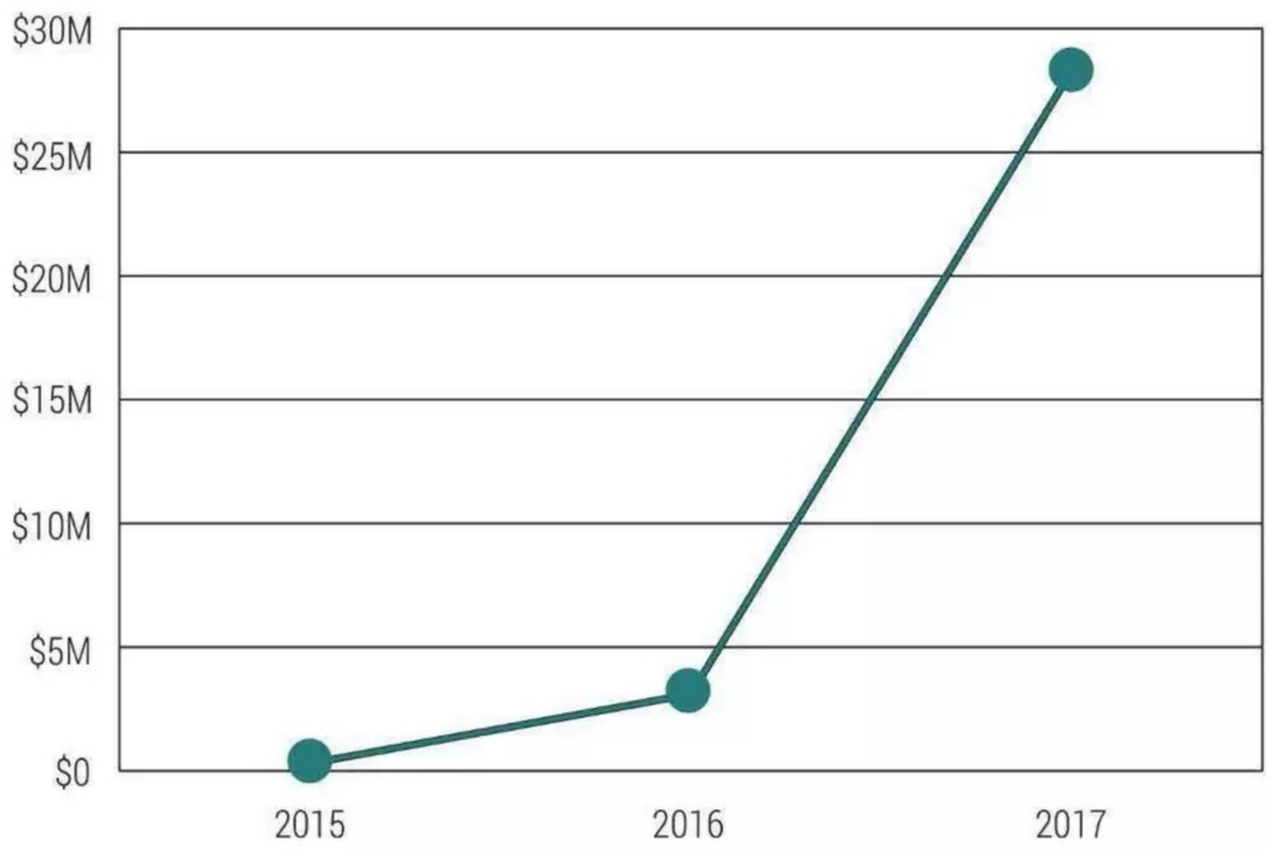


Steve Atlas, Predictive Analytics Advisor
Steve built an algorithm that predicts where taxicabs will maximize their revenue. Currently he's teaching at the University of Rhode Island.
Columbia University, PhD in Marketing (Behavioral Pricing), Masters in Economics.

GROWTH

25% of managers gets us $120M annual revenue.

Profitable by February 2016 with $90K MRR and 7000 properties.



Annual Revenue Projections

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Why can't marketplaces maximize a host's revenue?

1

They don't have the right data
69% of bookings occur via phone or email, often from the manager's website and personal referrals. Typically hosts don't report bookings to the marketplaces, so the hosts are the only ones with comprehensive data.

2

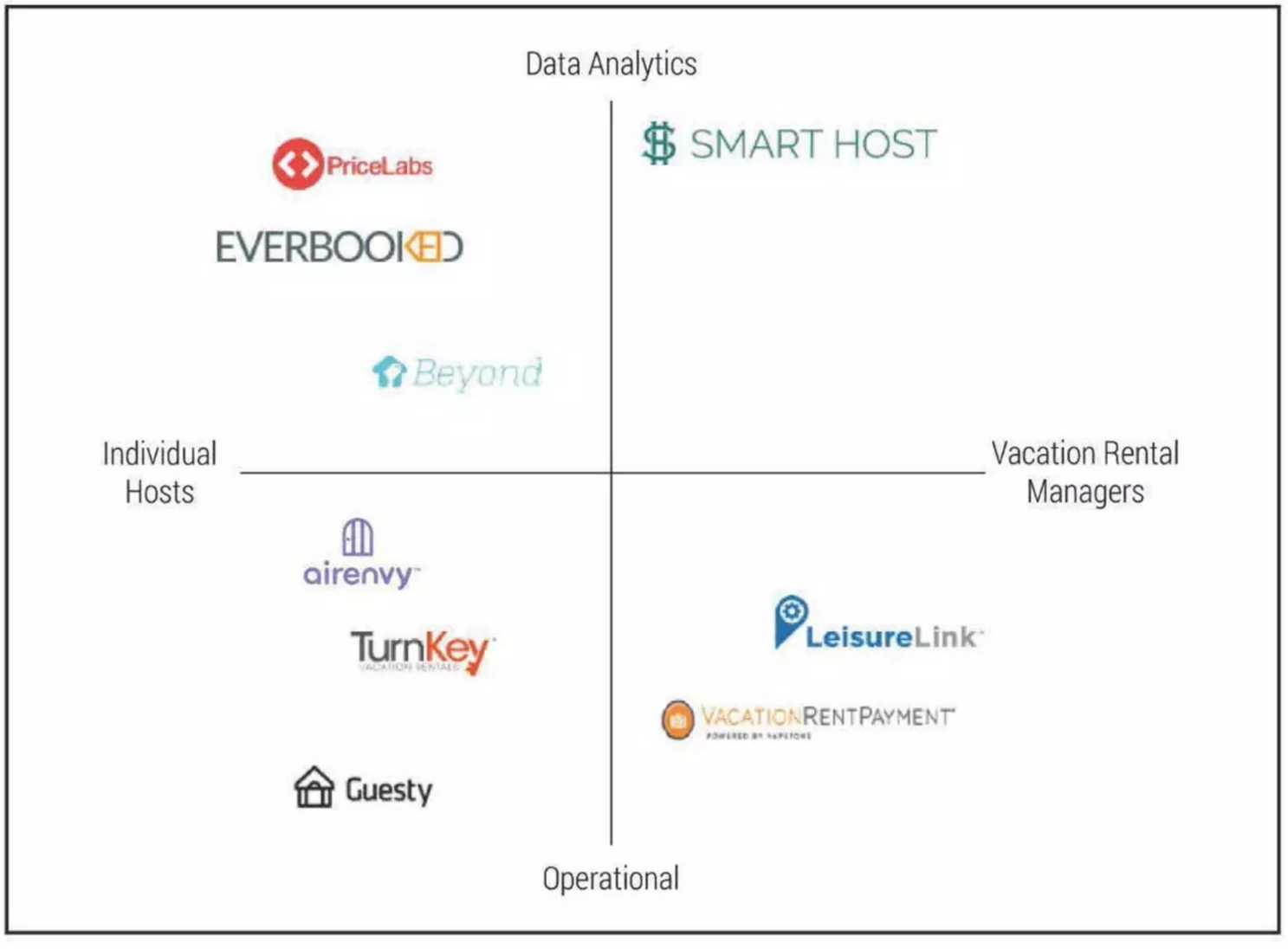
Marketplaces' prime customer is the guest.
As we are a host-centric brand, we can better advise hosts. For example, we sometimes recommend a host turns down a particular request if it creates a hard-to-fill gap in their calendar.

3

We are revenue maximizing specialists.
After dynamic pricing and scheduling recommendations, we'll factor in a host's risk tolerance and portfolio size to create a personalized pricing scheme. We'll also use our data to compare marketplaces and advise on marketing spend.

We're the only company selling pricing to managers.

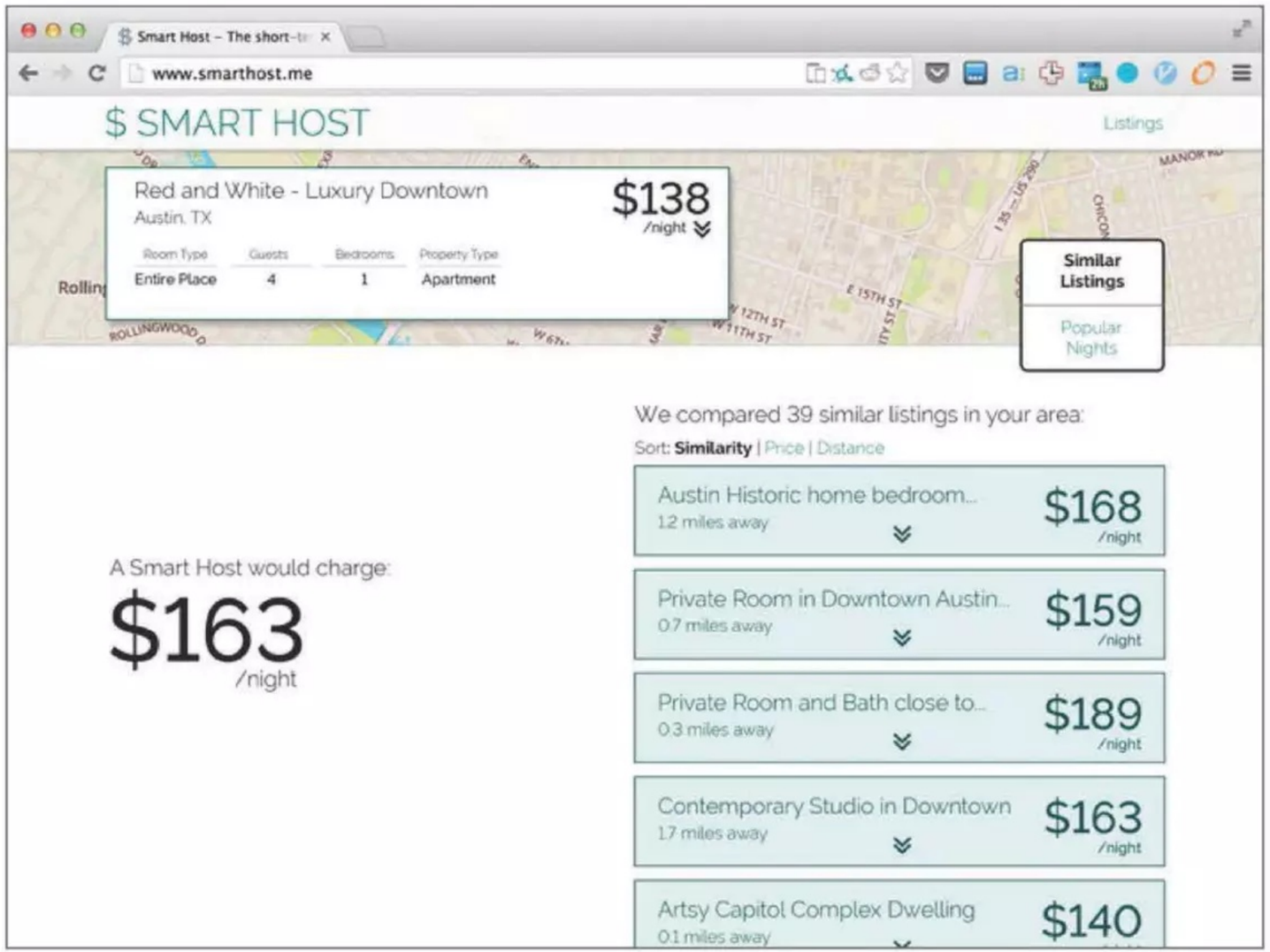
By working directly with managers, we get their transaction history and embed their local market knowledge into our product.



Customer Segment vs Value Proposition

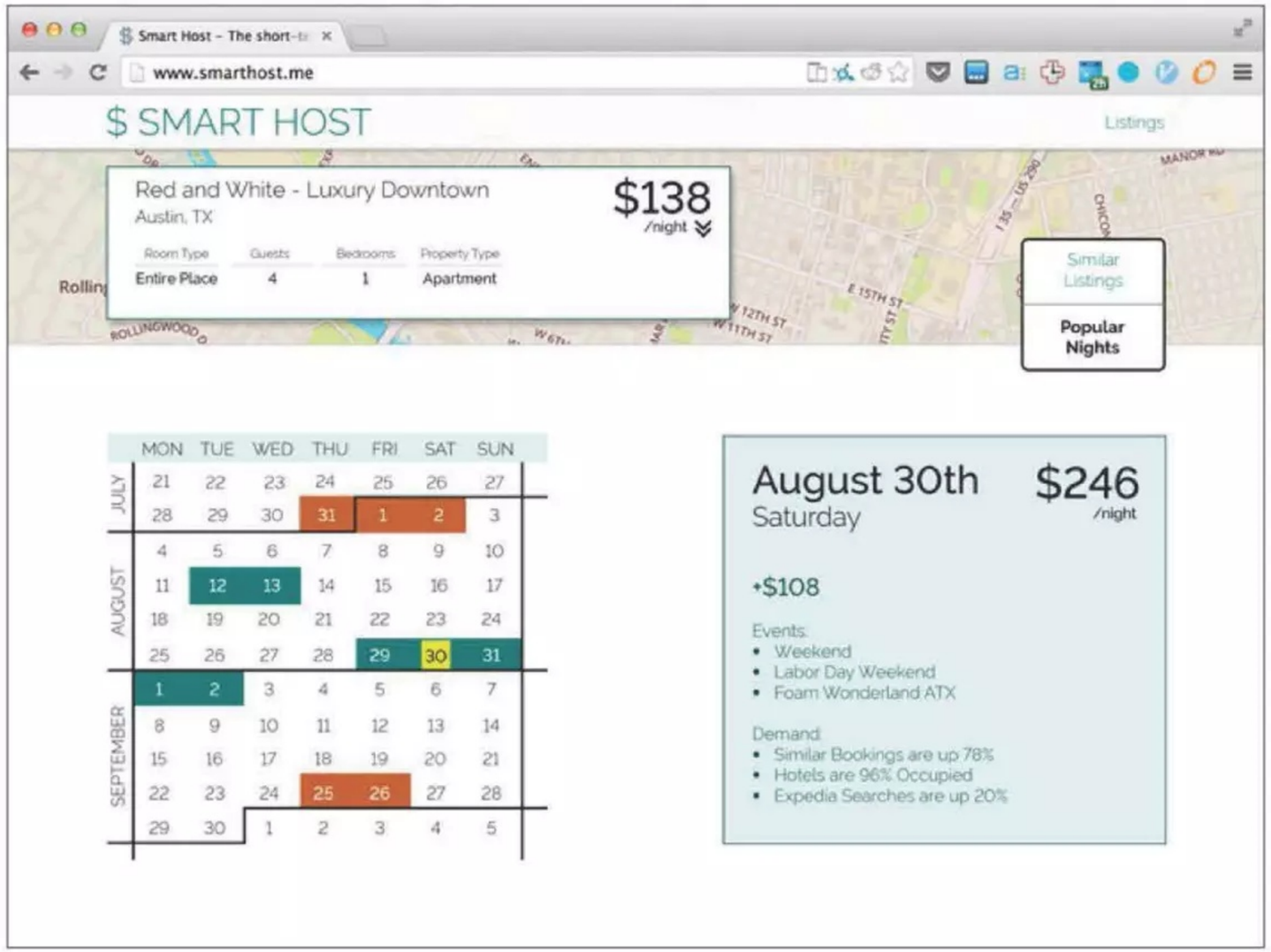
Our algorithm builds a set of similar properties.

Then a host refines it. Their choices become inputs for future recommendations.



A market-informed pricing calendar.

Prices update and sync when booking, event, or hotel data change.



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